ComplianceCheck

Pay-as-you-go Compliance Assessments for Indian SMEs

State-Wise Compliance Assessment Report

Central & State Labour Law Compliance

EPF, ESI, Professional Tax, Shops & Establishments

Prepared For

Sample Enterprises Pvt Ltd

Maharashtra | Manufacturing

Employees: 51-100

Assessment Date: 25 July 2026

33%

Overall Compliance Score

Executive Summary

33%

Overall Compliance Score

Risk Level

Critical Risk

Penalty Exposure

Severe

Category-wise Compliance

Category	Score	Compliance
Provident Fund	33%	1/3
Employees State Insurance	33%	1/3
Gratuity	50%	1/2
Professional Tax	33%	1/3
Shops & Establishments	33%	1/3
Prevention of Sexual Harassment	33%	1/3
Maternity Benefits	50%	1/2
Goods & Services Tax	33%	1/3
MSME Payment Compliance	0%	0/2
Digital Personal Data Protection	33%	1/3
Labour Codes Readiness	50%	2/4
Food Safety (FSSAI)	0%	0/2
Fintech Regulatory	50%	1/2
Factory Compliance	50%	1/2
Pollution Control	0%	0/2

Key Findings

* Total Compliance Score: 33%
* Risk Level: Critical Risk
* Areas Requiring Attention: 26 High Priority Items
* Compliant Areas: 13 areas meet requirements

HIGH Priority Action Items

Address immediately to mitigate compliance risks.

HIGH Provident Fund

Monthly ECR Filing by 15th

"EPF Scheme Para 38 | EPF (Amendment) Rules 2016"

Steps to Address:

1. Generate ECR immediately on EPFO Unified Portal
2. Calculate arrears: Employee 12% + Employer 12% + Admin 0.5% on Basic + DA
3. Pay using EPFO-approved bank challan (SBI, HDFC, ICICI, PNB)
4. Update employee UAN details if pending
5. Set calendar reminders for 10th of each month for ECR preparation
6. Automate payroll system integration with EPFO portal

Deadline: 15th of each month for previous month contribution

Penalty: 1% damage per month on delayed payment + 12% p.a. simple interest. Prosecution for willful default.

Ref: EPF Scheme Para 38 | EPF (Amendment) Rules 2016

HIGH Provident Fund

Correct Contribution Rate (12%+12%+0.5%)

"EPF Scheme Para 29-31 | EPS Para 32 | EDLI Para 21"

Steps to Address:

1. Audit current contribution calculation methodology
2. Verify wage components: Basic + DA must form PF contribution base
3. Correct rate: Employee 12%, Employer 12% (8.33% EPS + 3.67% EPF), Admin 0.5%, EDLI 0.5%
4. Recalculate for all employees and deposit differential with interest
5. Update payroll software configuration
6. For employees earning above Rs.15,000, offer voluntary higher contribution

Deadline: Continuous compliance with each salary disbursement

Penalty: Short contribution treated as arrears with 12% interest + damages up to 100% of arrears

Ref: EPF Scheme Para 29-31 | EPS Para 32 | EDLI Para 21

HIGH Employees State Insurance

Monthly ESI Contribution by 15th

"ESI Act, 1948 - Section 39(5) | ESI Rules - Rule 31"

Steps to Address:

1. Calculate contribution arrears: Employee share 0.75% + Employer share 3.25% = 4% of gross wages
2. Log into ESIC Portal and generate challan
3. Pay via online banking only (cash/cheque not accepted)
4. Update monthly contribution details on portal
5. Automate salary processing to calculate ESI correctly
6. File contribution through ESIC portal before 15th

Deadline: 15th of following month

Penalty: Simple interest at 12% p.a. on delayed payment + damages up to 25% of contribution

Ref: ESI Act, 1948 - Section 39(5) | ESI Rules - Rule 31

HIGH Employees State Insurance

ESI Coverage for Eligible Employees (up to Rs.21,000)

"ESI Act, 1948 - Section 2(9) | ESI Wage Ceiling Notification 2017"

Steps to Address:

1. Review employee roster for all earning up to Rs.21,000/month
2. Identify missed enrollments from date of eligibility
3. Register all eligible employees on ESIC portal with Aadhaar
4. Deposit back contributions with applicable interest and damages
5. Update HR systems to auto-flag ESI-eligible hires
6. Note: Rs.25,000 ceiling applies for disabled employees

Deadline: Immediate enrollment upon joining for eligible employees

Penalty: Employer liable for medical expenses of unregistered employees + penal interest

Ref: ESI Act, 1948 - Section 2(9) | ESI Wage Ceiling Notification 2017

HIGH Gratuity

Employment Contract Gratuity Clause

"Payment of Gratuity Act, 1972 - Section 4 | Code on Social Security 2020 - Section 53"

Steps to Address:

1. Update all employment contracts to include gratuity entitlement clause
2. State formula: 15 days wages x years of service (wages = last drawn basic + DA)
3. Clarify eligibility: 5 years continuous service (current law)
4. Note: Under new Labour Codes, fixed-term employees eligible after 1 year
5. Include forfeiture conditions as per Section 4(6) of the Act
6. Have legal team review updated contract templates

Deadline: All employment contracts must include gratuity terms

Penalty: Disputes and litigation risk; penalty for non-payment under the Act

Ref: Payment of Gratuity Act, 1972 - Section 4 | Code on Social Security 2020 - Section 53

HIGH Professional Tax

Professional Tax Registration

"Article 276 of Constitution of India | State-specific PT Acts"

Steps to Address:

1. Identify which operating states levy Professional Tax
2. States WITH PT: Maharashtra, Karnataka, West Bengal, Tamil Nadu, Gujarat, Andhra Pradesh, Telangana, Kerala, Assam, Meghalaya, Odisha, Tripura, Sikkim, Jharkhand, Bihar
3. States WITHOUT PT: Delhi, Haryana, Uttar Pradesh, Rajasthan, Punjab
4. Register on respective state commercial tax portal
5. Obtain PTEC (Enrollment Certificate) for company and PTRC (Registration Certificate) for employer
6. Display registration at workplace as required by state law

Deadline: Within 30 days of starting operations in applicable state

Penalty: Varies by state: Rs.5 to Rs.5,000 per month of non-registration + interest

Ref: Article 276 of Constitution of India | State-specific PT Acts

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HIGH Professional Tax

PT Return Filing

"State PT Acts - Return filing provisions"

Steps to Address:

1. Identify filing frequency for your state (monthly/quarterly/annually)
2. Maharashtra: Monthly if PT > Rs.50,000/year, else quarterly
3. Karnataka: Monthly by 20th
4. West Bengal: Monthly by 21st
5. File pending returns with interest and applicable penalties
6. Maintain Form III-B register of employees liable for PT

Deadline: Maharashtra: 30th of following month | Karnataka: 20th | Gujarat: 15th | Others vary

Penalty: Late filing fee + interest 1-2% per month + penalty up to 25% of tax due

Ref: State PT Acts - Return filing provisions

HIGH Shops & Establishments

S&E Act Registration

"State Shops & Commercial Establishments Acts | Model S&E Act 2016"

Steps to Address:

1. Apply through state-specific portal or Shram Suvidha (for some states)
2. Maharashtra: Shop and Establishment portal (lbt.midc.gov.in)
3. Karnataka: Seva Sindhu portal (sevasindhu.karnataka.gov.in)
4. Delhi: e-District portal (edistrict.delhigovt.nic.in)
5. Submit establishment details: name, address, nature of business, employees
6. Pay registration fee (typically Rs.100-500 depending on state)
7. Obtain registration certificate valid for 1-5 years

Deadline: Within 30-60 days of starting business (varies by state)

Penalty: Rs.1,000 to Rs.25,000 depending on state; closure order for continued non-compliance

Ref: State Shops & Commercial Establishments Acts | Model S&E Act 2016

HIGH Shops & Establishments

Attendance and Wage Records

"State S&E Acts - Record maintenance provisions"

Steps to Address:

1. Implement attendance tracking system (biometric/digital preferred)
2. Maintain register of employees with joining date, designation, wage
3. Record daily attendance with in-time and out-time
4. Document overtime hours separately
5. Maintain wage register with deductions (PF, ESI, PT)
6. Keep records for minimum 3 years (5 years recommended)

Deadline: Daily maintenance; retention for 3-5 years

Penalty: Rs.500 to Rs.10,000 for non-maintenance; evidence issues in labour disputes

Ref: State S&E Acts - Record maintenance provisions

HIGH Prevention of Sexual Harassment

Internal Complaints Committee (ICC) Constitution

"POSH Act, 2013 - Section 4 | POSH Rules, 2013 - Rule 4"

Steps to Address:

1. Constitute ICC with minimum 4 members:
2. - Presiding Officer: Senior woman employee
3. - Minimum 2 members from employees (preferably committed to women cause)
4. - 1 external member from NGO/association committed to women issues
5. Women must constitute at least 50% of ICC members
6. Issue formal order constituting ICC with 3-year term
7. Notify ICC details to all employees via email and notice board

Deadline: Within 30 days of establishment having 10+ employees

Penalty: First offense: Rs.50,000 fine | Repeat offense: Fine doubles + license cancellation

Ref: POSH Act, 2013 - Section 4 | POSH Rules, 2013 - Rule 4

HIGH Prevention of Sexual Harassment

Annual POSH Report Filing

"POSH Act, 2013 - Section 21 | POSH Rules, 2013 - Rule 14"

Steps to Address:

1. Prepare annual report with: number of complaints received, disposed, pending
2. Include nature of action taken in each case
3. File report with District Officer (usually District Collector/Magistrate)
4. Register on SHe-Box portal for centralized complaint tracking
5. Include report in company annual report/Board report
6. Maintain copy of filed report for inspection

Deadline: January 31 of each year for previous calendar year

Penalty: Non-filing included in POSH violation penalties; adverse audit observations

Ref: POSH Act, 2013 - Section 21 | POSH Rules, 2013 - Rule 14

HIGH Maternity Benefits

26 Weeks Paid Maternity Leave

"Maternity Benefit Act, 1961 - Section 5 (as amended 2017)"

Steps to Address:

1. Update maternity leave policy to provide 26 weeks for first two children
2. 12 weeks for third child onwards
3. 12 weeks for adoptive and commissioning mothers (child below 3 months)
4. Leave can start up to 8 weeks before expected delivery
5. Medical bonus of Rs.3,500 if employer does not provide pre/post-natal care
6. Work from home option mandated for nature of work permitting
7. Communicate updated policy to all female employees

Deadline: Applicable from date of amendment (April 1, 2017)

Penalty: Up to Rs.50,000 fine or 3 months imprisonment or both

Ref: Maternity Benefit Act, 1961 - Section 5 (as amended 2017)

HIGH Goods & Services Tax

GSTR-1 and GSTR-3B Timely Filing

"CGST Act, 2017 - Section 37 (GSTR-1) & Section 39 (GSTR-3B)"

Steps to Address:

1. Log into GST portal and file pending GSTR-1 (outward supplies)
2. Then file GSTR-3B (summary return with tax payment)
3. Pay late fee and interest calculated automatically by portal
4. Set up auto-drafted GSTR-1 from e-invoicing (if applicable)
5. Use GST accounting software for automated return preparation
6. Assign dedicated resource for GST compliance calendar

Deadline: GSTR-1: 11th of following month | GSTR-3B: 20th of following month

Penalty: Late fee: Rs.50/day (Rs.20 for nil return) capped at Rs.10,000 + 18% interest p.a.

Ref: CGST Act, 2017 - Section 37 (GSTR-1) & Section 39 (GSTR-3B)

HIGH Goods & Services Tax

ITC Reconciliation with GSTR-2B

"CGST Act, 2017 - Section 16(2)(aa) | CGST Rules - Rule 36(4)"

Steps to Address:

1. Download GSTR-2B from GST portal (auto-generated from supplier filings)
2. Compare with purchase register and ITC claimed in books
3. Identify mismatches: invoices not uploaded by suppliers, GSTIN errors
4. Follow up with suppliers to correct their GSTR-1
5. Reverse ineligible ITC in GSTR-3B
6. Implement vendor GST compliance monitoring system

Deadline: Monthly reconciliation before GSTR-3B filing

Penalty: Denial of ITC during assessment; interest on wrongly claimed ITC

Ref: CGST Act, 2017 - Section 16(2)(aa) | CGST Rules - Rule 36(4)

HIGH MSME Payment Compliance

MSME Supplier Verification

"MSME Development Act, 2006 - Section 15 | Income Tax Act - Section 43B(h)"

Steps to Address:

1. Create process to verify Udyam Registration of suppliers
2. Check on udyamregistration.gov.in using UDYAM number or GSTIN
3. Maintain updated list of MSME-registered suppliers
4. Include MSME status field in vendor master
5. Request Udyam certificate from new suppliers during onboarding
6. Periodically verify existing supplier MSME status

Deadline: Verification required before each transaction with new supplier

Penalty: Loss of tax deduction for payments delayed beyond 45 days

Ref: MSME Development Act, 2006 - Section 15 | Income Tax Act - Section 43B(h)

HIGH MSME Payment Compliance

Payment to MSME within 45 Days

"MSME Development Act, 2006 - Section 16 | Income Tax Act - Section 43B(h) (w.e.f. April 2024)"

Steps to Address:

1. Review current payment cycles for MSME suppliers
2. Identify payments pending beyond 45 days
3. Pay compound interest on delayed payments as per Section 16
4. Revise payment terms in contracts with MSME suppliers
5. Configure ERP/accounting system for MSME payment alerts
6. Monitor via MSME Samadhaan portal for complaints
7. Budget for faster cash flow to meet 45-day requirement

Deadline: 45 days from acceptance of goods/services (or agreed date if written)

Penalty: Compound interest at 3x bank rate + Loss of expense deduction for income tax if paid after 45 days

Ref: MSME Development Act, 2006 - Section 16 | Income Tax Act - Section 43B(h) (w.e.f. April 2024)

HIGH Digital Personal Data Protection

Privacy Notice in Simple, Clear Language

"DPDP Act 2023 - Section 5 | DPDP Rules 2025 - Rule 4"

Steps to Address:

1. Draft privacy notice in simple language (avoid legal jargon)
2. Must include: what data collected, purpose, how long retained
3. Explain how to exercise rights (access, correction, deletion)
4. Provide contact details of Data Protection Officer (if applicable)
5. Make available in English and regional languages if user base requires
6. Display prominently on website/app at point of data collection
7. Update notice when processing purposes change

Deadline: Full compliance by May 13, 2027

Penalty: Up to Rs.50 Crore for inadequate notice

Ref: DPDP Act 2023 - Section 5 | DPDP Rules 2025 - Rule 4

HIGH Digital Personal Data Protection

Data Principal Rights (Access, Correction, Deletion)

"DPDP Act 2023 - Section 11-13 | DPDP Rules 2025 - Rule 7"

Steps to Address:

1. Create self-service portal for users to access their data
2. Implement correction/update functionality for user profiles
3. Enable deletion/erasure request mechanism
4. Respond to requests within reasonable time (typically 30 days)
5. Maintain log of all rights requests and responses
6. Train customer support on handling data rights requests
7. Document exceptions where rights cannot be exercised (legal obligation, etc.)

Deadline: Full compliance by May 13, 2027; respond to requests within reasonable time

Penalty: Up to Rs.50 Crore for failure to enable rights exercise

Ref: DPDP Act 2023 - Section 11-13 | DPDP Rules 2025 - Rule 7

HIGH Labour Codes Readiness

Grievance Redressal Committee (20+ employees)

"Industrial Relations Code 2020 - Section 4 | IR Code Rules"

Steps to Address:

1. Constitute Grievance Redressal Committee with equal representation
2. Include management representatives and worker representatives
3. Chairperson to be elected from members
4. Establish written grievance procedure with timelines
5. Grievance to be addressed within 30 days of receipt
6. Appeal mechanism to appropriate authority if unresolved
7. Maintain records of all grievances and resolutions

Deadline: Within 60 days of Labour Codes notification

Penalty: Fine up to Rs.50,000 for non-constitution; adverse impact in industrial disputes

Ref: Industrial Relations Code 2020 - Section 4 | IR Code Rules

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HIGH Labour Codes Readiness

Updated Employment Contracts

"All Four Labour Codes - Definitions of Wages, Worker, Employee"

Steps to Address:

1. Review employment contract templates for new definitions
2. Wages: new definition with 50% basic + DA rule
3. Worker: now includes sales/supervisory up to Rs.18,000/month
4. Working hours: max 8 hours/day, flexibility in 4-day week
5. Fixed-term: equal benefits, gratuity after 1 year
6. Retrenchment: new thresholds (300 workers for prior approval)
7. Engage legal counsel for comprehensive contract review

Deadline: Before Labour Codes effective date (pending central notification (date TBD))

Penalty: Contractual disputes; non-compliance with new definitions

Ref: All Four Labour Codes - Definitions of Wages, Worker, Employee

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HIGH Food Safety (FSSAI)

Valid FSSAI License/Registration

"Food Safety and Standards Act, 2006 - Section 31 | FSS (Licensing) Regulations 2011"

Steps to Address:

1. Determine license type based on annual turnover:
2. Basic Registration: Turnover up to Rs.12 Lakh (free registration)
3. State License: Turnover Rs.12 Lakh - Rs.20 Crore
4. Central License: Turnover above Rs.20 Crore or operating in multiple states
5. Apply on FoSCoS portal (foscos.fssai.gov.in)
6. Submit Food Safety Management System (FSMS) plan
7. Undergo inspection if required for license category

Deadline: Before commencing food business operations

Penalty: Up to Rs.10 Lakh fine + imprisonment up to 6 months; business closure

Ref: Food Safety and Standards Act, 2006 - Section 31 | FSS (Licensing) Regulations 2011

HIGH Food Safety (FSSAI)

FSSAI License Display on Products and Premises

"FSS (Licensing) Regulations 2011 - Regulation 2.1.2(4)"

Steps to Address:

1. Print 14-digit FSSAI license number on all product packaging
2. Display FSSAI logo along with license number
3. Display license certificate at business premises
4. Include license number on menus (for restaurants/cloud kitchens)
5. Add to website footer and online ordering platforms
6. Train kitchen staff on compliance requirements

Deadline: From date of license - continuous requirement

Penalty: Up to Rs.5 Lakh fine; product recall; license suspension

Ref: FSS (Licensing) Regulations 2011 - Regulation 2.1.2(4)

HIGH Fintech Regulatory

RBI Digital Lending Guidelines Compliance

"RBI Digital Lending Guidelines 2022 | Master Direction on IT Framework"

Steps to Address:

1. Ensure all disbursements to borrower bank account only (no third-party)
2. Provide Key Fact Statement (KFS) with APR before disbursal
3. No automatic credit limit increase without explicit consent
4. Store all data only in India (data localization)
5. Implement grievance redressal with escalation to RBI Ombudsman
6. Appoint Nodal Officer for regulatory liaison
7. Annual audit by RBI-approved auditor

Deadline: In effect from September 2022 (existing guidelines)

Penalty: License revocation; prosecution under Banking Regulation Act

Ref: RBI Digital Lending Guidelines 2022 | Master Direction on IT Framework

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HIGH Factory Compliance

Factory License and Occupier/Manager Appointment

"Factories Act 1948 - Section 6-7 | OSH Code 2020 - Section 6"

Steps to Address:

1. Factory defined as: 10+ workers with power OR 20+ workers without power
2. Obtain factory plan approval from Chief Inspector of Factories
3. Apply for factory license on state portal/Shram Suvidha
4. Appoint Occupier (owner/lessee responsible for factory)
5. Appoint Factory Manager (qualified person for compliance)
6. Submit Form 2 for Manager appointment
7. Renew license annually before December 31

Deadline: Before commencing manufacturing operations

Penalty: Up to Rs.2 Lakh fine + imprisonment up to 2 years; closure order

Ref: Factories Act 1948 - Section 6-7 | OSH Code 2020 - Section 6

HIGH Pollution Control

Consent to Operate (CTO) from State Pollution Control Board

"Water (Prevention & Control of Pollution) Act 1974 | Air Act 1981 | Environment Protection Act 1986"

Steps to Address:

1. Identify pollution category based on activity:
2. White: IT/Software - No CTO needed, only self-declaration
3. Green: Low pollution - Simplified consent process
4. Orange: Medium pollution - CTO required with conditions
5. Red: High pollution - Detailed EIA, CTO with strict conditions
6. Apply through PARIVESH portal (parivesh.nic.in)
7. Submit effluent/emission data and control measures
8. Install required pollution control equipment

Deadline: Before commencing operations; renewal annually/5-yearly based on category

Penalty: Up to Rs.1 Lakh/day for operation without consent; closure order

Ref: Water (Prevention & Control of Pollution) Act 1974 | Air Act 1981 | Environment Protection Act 1986

HIGH Pollution Control

Environmental Compliance Reports

"Environment Protection Rules 1986 - Rule 14 | E-Waste Rules 2016 | Hazardous Waste Rules 2016"

Steps to Address:

1. Identify applicable reporting requirements based on category
2. Install Online Continuous Emission Monitoring System (OCEMS) if required
3. Submit Annual Environmental Statement by September 30
4. File Hazardous Waste returns if generating hazardous waste
5. Report e-waste generated (if >1000 kg/year)
6. Maintain pollution control equipment records
7. Conduct periodic stack emission testing

Deadline: Monthly (Red), Quarterly (Orange), Annual (Green)

Penalty: Up to Rs.1 Lakh fine; adverse inspection report; CTO cancellation

Ref: Environment Protection Rules 1986 - Rule 14 | E-Waste Rules 2016 | Hazardous Waste Rules 2016

Compliant Areas (13)

These areas meet Central & State Labour Law Compliance requirements based on your responses

Provident Fund

[Y] EPFO Registration with Active Establishment Code

Employees State Insurance

[Y] ESIC Registration

Gratuity

[Y] Gratuity Provision/Fund Maintenance

Professional Tax

[Y] PT Deduction as per State Slabs

Shops & Establishments

[Y] Display of Registration Certificate

Prevention of Sexual Harassment

[Y] Annual POSH Awareness Training

Maternity Benefits

[Y] Creche Facility (50+ employees)

Goods & Services Tax

[Y] E-Invoicing for Turnover Above Rs.5 Crore

Digital Personal Data Protection

[Y] Clear, Specific Consent Before Data Collection

Labour Codes Readiness

[Y] Wage Structure Compliance (50% Basic + DA)
[Y] Unified Register Maintenance

Fintech Regulatory

[Y] RBI License for Financial Services

Factory Compliance

[Y] Working Hours Compliance (48 hrs/week)

Next Steps & Resources

Recommended Timeline

Period	Action
Immediate	Address HIGH priority items
Short-term (30-60 days)	Complete MEDIUM priority items
Ongoing	Implement LOW priority improvements
Annual	Re-assessment and compliance review

Government Resources

EPFO Portal
https://unifiedportal-emp.epfindia.gov.in

ESIC Portal
https://www.esic.gov.in

Shram Suvidha Portal
https://shramsuvidha.gov.in

Ministry of Labour
https://labour.gov.in

State Labour Dept Portals
Check your state government website

Applicable Legislation

* Employees Provident Funds and Miscellaneous Provisions Act, 1952
* Employees State Insurance Act, 1948
* Payment of Gratuity Act, 1972
* Payment of Bonus Act, 1965
* State Professional Tax Acts
* State Shops and Establishments Acts
* Contract Labour (Regulation and Abolition) Act, 1970
* State-specific Labour Welfare Fund Acts

Key Compliance Deadlines

* EPF/ESI Monthly Deposit: 15th of following month
* Professional Tax (Monthly): State-specific (typically 21st)
* Shops & Establishments Registration: Within 30 days of commencement
* Labour Welfare Fund: Half-yearly (June 30 / December 31)
* Contract Labour License Renewal: Before expiry
* Annual Returns Filing: January 31 / February 1 (varies by state)

Schedule Your Next Assessment
We recommend re-assessing your compliance status every 6-12 months. Visit compliancecheck.co.in to schedule your next assessment.

Disclaimer: This report is generated based on your responses and should not be construed as legal advice. Please consult with a legal professional for specific compliance guidance.

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